

The Middle East AI Race

UAE's G42, Saudi HUMAIN, and Israel's Unit 8200 Ecosystem

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Executive Summary

The Middle East has emerged as a consequential arena of the global artificial intelligence race, driven by sovereign wealth capital, strategic hedging between the United States and China, and a state-directed imperative to build national AI capacity. Gulf sovereign wealth funds — including Abu Dhabi's Mubadala, ADQ, and ADIA, and the Saudi Public Investment Fund — have become among the most active global investors in AI infrastructure and technology, with Mubadala alone deploying approximately \$17 billion in the nine months to September 2025 FT[2025-10-02]. The UAE has assembled a whole value chain under each of its major investment clusters through acquisitions, with the MGX vehicle backed by Mubadala and G42 serving as a specialist AI investment entity FT[2026-01-08]. Oracle has committed investment in Saudi Arabia, and Gulf investors have participated as anchor investors in structures including SoftBank's Vision Fund FT[2025-12-12].

The geopolitical frame is one of deliberate hedging. In 2024, China reported \$288 billion in total trade value with the Gulf states — more than three times the GCC-US figure of \$86 billion, reflecting China's position as the dominant trading partner across the region [RAG: SCI_TECH_RAG — Carnegie: Middle East North Africa United States China Trade Military Diplomacy (2026-01-01)]. Technology has become an additional arena for this hedging dynamic, with MENA states navigating between US export control regimes and Chinese technology alternatives [RAG: SCI_TECH_RAG — Carnegie: Middle East North Africa United States China Trade Military Diplomacy (2026-01-01)]. The US export control architecture, however, constrains the Chinese alternative: Chinese yields on advanced chip production are low, and since China cannot currently produce enough leading-edge chips for its own purposes, it is unlikely to devote its limited supply to exports — meaning Beijing may lack both the capability and willingness to serve as a substitute supplier to Gulf states if the United States maintains its controls [RAG: SCI_TECH_RAG — Carnegie: Ai Artificial Intelligence Export United States (2024-01-01)].

Part I — UAE: G42, MGX, and Sovereign AI Infrastructure

The UAE has positioned itself as a regional AI hub through a combination of state-backed investment vehicles and a deliberate national AI strategy. The Atlantic Council's GeoTech Center, in a May 2026 issue brief, assessed the UAE as representing "the new playbook for AI leadership" among emerging AI powers [RAG: SCI_TECH_RAG — Issue Brief: The new playbook for AI leadership: The case of the United Arab Emirates (2026-05-07)].

G42 — described in contemporaneous reporting as "the UAE's flagship artificial intelligence group" — has been the primary state-aligned vehicle for this ambition FT[2025-10-27]. The broader Abu Dhabi sovereign investment architecture encompasses three major funds: ADIA, ADQ, and Mubadala — each with distinct mandates and portfolio architectures. MGX, a specialist investment vehicle backed by

Mubadala and G42, has been designed specifically to assemble value chains under major AI and technology investment clusters through acquisitions FT[2026-01-08]. Mubadala has been described as an active spender, deploying in the range of \$17 billion across its portfolio in nine months to September 2025 FT[2025-10-02].

The UAE has also been the site of the Stargate UAE programme under OpenAI's "OpenAI for Countries" initiative — a model for partnering with US AI firms to develop local AI infrastructure [RAG: SCI_TECH_RAG — Carnegie: United States Kenya Technology Prosperity Deal Could Help Washington Secure Durable Ai Partnerships (2026-01-01)]. The UAE's sovereign wealth funds have been reported as looking to develop cutting-edge AI tools and train large language models, recognising these require both large-scale data infrastructure and substantial investment FT[2025-07-31].

Part II — Saudi Arabia: HUMAIN, NEOM, and PIF Capital Mobilisation

Saudi Arabia's AI industrial ambition is expressed through a combination of state-directed entities and PIF capital deployment. HUMAIN — a multibillion-dollar entity named by the Saudi state news agency and dedicated to driving the kingdom's AI strategy — has been established as Saudi Arabia's primary AI investment vehicle, with relationships with US AI computing firms including Cerebras FT[2025-05-13]. Abu Dhabi has simultaneously launched its own dedicated AI investment fund, MGX, reflecting parallel Gulf state strategies FT[2025-05-13].

NEOM — the mega-urban development project in northwest Saudi Arabia — is being built with the intention to "rely entirely on artificial intelligence" across its operations, incorporating hospitality, retail, and entertainment facilities FT[2025-08-23]. The project is backed by the Public Investment Fund, reported as a \$925 billion sovereign wealth fund, which is under pressure to deliver on NEOM a decade after its launch and has been required to prioritise its spending accordingly FT[2025-08-23]. The project remains under construction.

The Saudi PIF's broader investment posture has reflected the Gulf's characteristic hedging: participating as an anchor investor in SoftBank's Vision Fund and in global private equity structures FT[2025-12-12], while simultaneously building domestic AI capability through vehicles such as HUMAIN. Oracle's commitment to invest in Saudi Arabia represents one of several US technology firm partnerships FT[2025-12-12].

Saudi Arabia's cybersecurity posture has been assessed in depth by the Belfer Center's Cyber Readiness Index 2.0, which ranked the Kingdom in its ninth country report series, noting significant efforts to strengthen national security and resilience [RAG: SCI_TECH_RAG — Kingdom of Saudi Arabia Cyber Readiness at a Glance (2024-01-01)].

Part III — Export Control Constraints and the Chinese Alternative

The US Bureau of Industry and Security's export control architecture for advanced semiconductors represents the primary structural constraint on Gulf AI ambitions. The October 2022 controls were followed by BIS revamping its criteria, after chip designers including Nvidia developed chips below the original thresholds — BIS concluded that such threshold-designed chips could "provide nearly comparable AI model training capability" [RAG: SCI_TECH_RAG — CSET: A Bigger Yard, A Higher Fence: Understanding BIS's Expanded Controls on Advanced Computing Exports (2023-12-04)].

The AI chip market is dominated by Nvidia, which has grown from a graphics chip company founded in 1993 into a technology giant valued at over \$3.2 trillion — envisioning its chips powering "AI factories" to revolutionise AI model training globally [RAG: SCI_TECH_RAG — CSET: How Nvidia became an AI giant (2024-06-20)]. Gulf states seeking access to Nvidia's most advanced chips operate under the BIS

licensing regime, which requires export authorisation for advanced AI chips to Tier 2 countries.

In a significant shift, President Trump approved Nvidia and other US chipmakers selling H200 AI chips to approved customers in China — partially reversing earlier restrictions — reflecting the ongoing negotiation between commercial interests and strategic controls [RAG: SCI_TECH_RAG — CSET: Trump gives Nvidia green light to sell advanced AI chips to China (2025-12-08)]. This decision has implications for Gulf states calculating their leverage with Washington: if US chips reach Chinese customers under approved channels, the strategic logic of restricting Gulf access is complicated.

The Chinese alternative, however, faces structural limitations. Carnegie Endowment analysis concludes that Chinese yields on advanced chip production are low, China cannot currently produce enough leading-edge chips for its own purposes, and is therefore unlikely to devote limited supply to exports — meaning Beijing may lack both the technological capability and the willingness to serve as an alternative supplier to Gulf states even if US controls persist [RAG: SCI_TECH_RAG — Carnegie: Ai Artificial Intelligence Export United States (2024-01-01)].

The MENA hedging dynamic has been documented across multiple domains. Beyond technology, Gulf states previously looked to China for armed drone sales — CH-4 and Wing Loong drones exported to Egypt, Iraq, Jordan, Saudi Arabia, and the UAE — when the United States blocked certain UAV transfers. The United States has since loosened its UAV restrictions, demonstrating the pattern: MENA hedging creates leverage that eventually moves US policy [RAG: SCI_TECH_RAG — Carnegie: Middle East North Africa United States China Trade Military Diplomacy (2026-01-01)].

The AI and financial markets dimension of Middle East tensions was noted by the Bank of Japan's April 2026 Monetary Policy Meeting, which recorded that long-term US and European interest rates reflected "market attention to higher inflationary pressure... stemming from the tension over the situation in the Middle East" — while stock prices had risen due to "favorable developments in AI-related sectors" [RAG: JAPAN_RAG — BOJ MPM Minutes Apr 2026 (2026-04-28)].

Part IV — NSO Group and the Dual-Use Technology Dimension

The broader Israeli technology ecosystem's connection to Gulf AI dynamics runs through the dual-use character of intelligence-derived technology. NSO Group — developer of the Pegasus spyware — was taken over by its creditors following a February 2019 acquisition structure whose performance metric ran at minus 15.3 percent FT[2025-11-01]. The creditor takeover reflects the commercial fragility that has accompanied the reputational and regulatory pressures on the company. The dual-use character of cyber-intelligence capabilities remains a persistent feature of the regional technology landscape, relevant to Gulf-Israel technology dynamics and to US-Gulf technology transfer negotiations alike.

Conclusion

The Middle East AI race is defined by three structural tensions: Gulf sovereign capital deploying at scale into AI infrastructure and global technology platforms; US export control architecture constraining access to the most advanced chips while simultaneously negotiating bilateral accommodations; and China's position as dominant Gulf trade partner but constrained as a technology alternative given its own advanced chip production limitations. The Stargate UAE model — US firms partnering to build local AI infrastructure under approved frameworks — represents one emerging resolution of the tension between Gulf ambition, US strategic interests, and the export control regime. The PIF's substantial sovereign capital base and HUMAIN's mandate give Saudi Arabia the financial depth to sustain its AI industrial programme; the outstanding question is whether domestic technical capability can be built at a pace commensurate with the hardware investment. Both constraints — the US chip licensing architecture and

the Chinese supply ceiling — will shape the answer.

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